

CRM Comprehensive Revision Guide

Student Reference Material

CHAPTER 1: CRM FUNDAMENTALS

One-Line Revision: Evolution of CRM: From product selling to long-term customer relationships.

- **CRM:** Managing customer relationships using strategy and technology.
- **Emergence:** CRM grew because of competition, technology, and customer needs.
- **CRM Growth Factors:** Internet, competition, smartphones, data, customer expectations.
- **CRM Process:** Collect → Understand → Sell → Support → Feedback → Loyalty.
- **CRM Framework:** People + Process + Technology + Data.
- **Benefits:** Better service, loyalty, sales, and profit.
- **Types:** Operational, Analytical, Collaborative.
- **Scope:** Banking, hospitals, retail, hotels, education, e-commerce, etc.
- **Customer Profitability:** Profit earned from a customer after costs.
- **Features:** Database, sales tracking, reports, automation, customer support.
- **Trends:** AI, cloud, chatbots, mobile CRM, social CRM.
- **Cost–Benefit Analysis:** Compare CRM cost with its benefits.
- **Relationship Marketing:** Build trust and long-term customer relationships instead of focusing only on one-time sales.

Chapter 2: Customer Value & Experience

One-Line Revision: Customer Value: Benefits received compared to the cost paid.

- **Customer Expectation:** What a customer hopes to receive before buying.
- **Customer Satisfaction:** How happy a customer is after using a product or service.
- **Customer Centricity:** Putting the customer at the center of business decisions.
- **Customer Acquisition:** Gaining new customers.
- **Customer Retention:** Keeping existing customers for repeat business.
- **Customer Loyalty:** Customers repeatedly choosing the same brand.

- **Customer Lifetime Value (CLV):** Total profit earned from a customer over the entire relationship.
- **Customer Experience Management (CEM):** Managing every customer interaction to create a positive experience.
- **Customer Profitability:** Profit earned from a customer after service costs.
- **Enterprise Marketing Management (EMM):** Managing all marketing activities through one integrated system.
- **Customer Satisfaction Measurements:** Methods like CSAT, NPS, surveys, feedback, and reviews to measure satisfaction.
- **Web-Based Customer Support:** Online customer service through chat, email, FAQs, chatbots, and help centers.

Chapter 3: Planning & Strategy

1. **Planning for CRM:** The process of preparing a strategy before implementing a CRM system to improve customer relationships.
2. **Steps in Planning:** The activities followed to successfully design and implement a CRM system.
3. **Building Customer Centricity:** Putting customers at the center of every business decision.
4. **Setting CRM Objectives:** Defining the goals that the company wants to achieve using CRM.
5. **Defining Data Requirements:** Deciding what customer information should be collected and stored.
6. **Planning Desired Outputs:** Deciding what reports, dashboards, and results the CRM system should generate.
7. **Relevant Issues While Planning the Outputs:** Ensuring CRM reports are accurate, useful, timely, simple, and secure.
8. **Elements of CRM Plan:** Essential components such as goals, customer strategy, data, technology, budget, employees, and performance measurement.
9. **CRM Strategy Development Process:** Step-by-step method of creating, implementing, and improving a CRM strategy.
10. **Customer Strategy Grid:** A tool that classifies customers into different groups based on their value and loyalty.

Chapter 4: Relationship Marketing & SFA

- **Relationship Marketing (RM):** Focuses on building long-term customer relationships.
- **Marketing Strategy:** A plan to attract, satisfy, and retain customers.
- **CRM and Marketing Strategy:** CRM uses customer data to create personalized marketing and improve retention.
- **CRM Marketing Initiatives:** Activities like email marketing, loyalty programs, SMS, and feedback.
- **Sales Force Automation (SFA):** Software that automates sales activities such as lead management, follow-ups, and reporting.
- **Campaign Management:** Planning, executing, monitoring, and evaluating marketing campaigns.
- **Call Centres:** Customer support centers that use CRM to resolve customer issues quickly.
- **CRM in Consumer Markets:** Used for personalized offers, loyalty programs, and better shopping experiences.
- **CRM in Services Sector:** Helps deliver personalized services, manage appointments, and improve customer support.
- **CRM in Mass Markets:** Enables large-scale customer communication and data-driven marketing.
- **CRM in Manufacturing Sector:** Supports dealer management, warranties, after-sales service, and customer support.

Chapter 5: Implementation & Metrics

- **CRM Implementation:** Process of planning, installing, customizing, and using a CRM system.
- **Issues in CRM:** Employee resistance, poor data quality, high cost, lack of training, security, and integration problems.
- **IT Tools in CRM:** CRM software, DBMS, Data Warehouse, Data Mining, BI, AI, Cloud Computing, and Mobile CRM.
- **Challenges of CRM:** Data migration, privacy, employee adoption, integration, cost, and continuous updates.
- **CRM Implementation Roadmap:** A step-by-step plan for successful CRM implementation.
- **Road Map (RM) Performance:** Evaluation of whether the implementation plan is meeting its goals.
- **Measuring CRM Performance:** Uses customer satisfaction, retention, sales, productivity, and ROI to evaluate success.

CRM Performance Metrics & Calculations

1. Customer Satisfaction Score (CSAT)

Formula: $CSAT = (\text{Satisfied Customers} \div \text{Total Responses}) \times 100$

Example: Total surveyed = 100, Satisfied = 90

Calculation: $(90 \div 100) \times 100 = 90\%$

2. Customer Retention Rate (CRR)

Formula: $CRR = ((\text{Customers at End} - \text{New Customers}) \div \text{Customers at Start}) \times 100$

Example: Start = 200, End = 220, New = 40

Calculation: $((220 - 40) \div 200) \times 100 = 90\%$

3. Customer Lifetime Value (CLV)

Formula (Simple): $CLV = \text{Average Purchase} \times \text{Number of Purchases}$

Example: Average purchase = ₹2,000, Purchases = 10

Calculation: $2,000 \times 10 = ₹20,000$

4. Customer Acquisition Cost (CAC)

Formula: $CAC = \text{Marketing Cost} \div \text{New Customers}$

Example: Marketing cost = ₹50,000, New customers = 100

Calculation: $50,000 \div 100 = ₹500$

5. Sales Growth

Formula: $\text{Sales Growth} = ((\text{Current Sales} - \text{Previous Sales}) \div \text{Previous Sales}) \times 100$

Example: Previous = ₹1,00,000, Current = ₹1,20,000

Calculation: $((1,20,000 - 1,00,000) \div 1,00,000) \times 100 = 20\%$

6. Complaint Resolution Time

Formula: Average Resolution Time = Total Time Taken ÷ Total Complaints

Example: Total time = 100 hours, Complaints = 20

Calculation: $100 \div 20 = 5$ hours

7. Customer Churn Rate

Formula: Churn Rate = (Customers Lost ÷ Customers at Start) × 100

Example: Start = 500, Lost = 25

Calculation: $(25 \div 500) \times 100 = 5\%$

8. First Contact Resolution (FCR)

Formula: FCR = (Issues Resolved on First Contact ÷ Total Issues) × 100

Example: Total complaints = 100, Solved on first call = 80

Calculation: $(80 \div 100) \times 100 = 80\%$